

its service-based model sure to be a hit among customers, the business model around open source was also scalable. Thus, I decided on open source for Sakshay,” recalls Dr Chamria.

Sakshay initially offered customers a basket of services including migration services, support or maintenance of offline client machine servers, services for e-commerce solutions, etc. And it opted for the ‘sellers of support’ business model, where instead of traditional software licensing fees it made money around the consulting and post-sales support/services it provided. The model was highly profitable. “With an initial capital of just Rs 100,000 and our brains, we began Sakshay. And there was no looking back. Right from Day One, we made considerable profits from open source consulting. In the first two years, we saw a growth of 200 per cent,” testifies Dr Chamria.

## Early successes

However, having started out at a time when the technology was nascent and people had reservations about open source, it was tough for Sakshay to sell its services in the market. Dr Chamria spent the first few days formulating the way Sakshay ought to project itself as an open source proficient firm. He wrote articles for the website on the firm’s philosophy, the advantages of open source, why choose Sakshay over other companies, etc.

“In India, we focused on customers on whom the open source magic had already worked, i.e., those in the process of adopting open source or those who knew about open source and were convinced by its philosophy. Alongside, we tried to win over new entrants in the technology world like NGOs, who cared little about the underlying technology and just wanted a workable and hassle-free solution,” says Dr Chamria. With this strategy, the first deal for Sakshay came through without too much of sweat. The young firm’s first client was the CSI (Computer Society of India), which was already bowled over by the open source philosophy. Sakshay built CSI’s website on open source (Drupal) and helped the organisation migrate its offline membership management app from Microsoft to open source.

The company then began looking at global customers and pitching itself to the already convinced. Some initial customers included the World Social Forum, NGOs like iVolunteer, and Robins India (a company manufacturing tunnel-boring machines) for whom Sakshay built an office management application using open source. “Considering India wasn’t an early adopter of open source technology, we looked overseas for clients. Back then the US was a tough market for open source technology, but European nations like Germany, Italy and Belgium were at the forefront of open source adoption. We tied up with companies present there and entered those markets, which proved to be very fertile markets for us,” says Dr Chamria.

## Internet marketing

Another crucial factor that launched Sakshay successfully was its quick adoption of Internet marketing. The Internet played a huge role in generating the initial interest amongst its target audience. Thereafter, Sakshay would follow up, convince clients to first hook



Open source team @ Sakshay Web Technologies

up to open source and then eventually to Sakshay itself. “Back then, I was very impressed by Just Dial, which marked the shift of customers from relying on print and TV advertisements, to using the phone for information. I could see the same shift take off in the online world, especially with search engines that could be used to search for just about anything one needed. Thus, we invested significant funds into Internet marketing. And the results were great. With less number of people offering open source solutions and even fewer promoting themselves online, just a simple Google search for open source solutions would show Sakshay’s link first. Nearly 95 per cent of the initial leads came through search engines or some online route. The World Social Forum and CSI were two customers that discovered us via the Web,” says Dr Chamria.

## Tackling hurdles

Despite the smart marketing strategy and business model, Sakshay faced some teething problems like inadequate infrastructure support and a talent crunch. “Infrastructure support was a problem. We wanted support on IT infrastructure like server in-house architecture, mixed networks, client machines, etc. This was very difficult to find as only select vendors offered such support. We had tied up with Linux products and support companies but it did not work out owing to higher initial costs and human resource scarcity. Thereafter, once our resource pool grew, we hired a Red Hat certified professional and worked on becoming self-sufficient in managing our own infrastructure,” says Dr Chamria.

Finding the right talent was an uphill task. “Talent was an issue as it was difficult to find people with a passion for open source technology. We spent a lot of money and time on in-house training to scale talent to a level where it could be productive. And this investment soon paid off as we built internal leaders, transforming this cost centre into an investment with a high RoI,” says Dr Chamria.

## Getting fitter and stronger with time

Change is the only constant and this adage holds true for any company wanting to remain in business and not become obsolete. Realising the need to diversify to sustain growth, the firm built an open source e-commerce product named SSecom, which was a powerful PHP shopping cart and website-builder application, to help merchants focus on rapid and cost-